STANDARD METHOD

	First year		Second year		Third year	
Proceeds of goods sold		$1,700,000		$700,000		$1,200,000
Cost of goods sold:						
Opening inventory	1,000,000		1,500,000		500,000	
Purchases	1,500,000		500,000		1,000,000	
	2,500,000		2,000,000		1,500,000	
Less closing inventory						
(lower of cost or market)	1,500,000	1,000,000	500,000	1,500,000	1,000,000	500,000
Gross profit		$700,000	*Loss*	$800,000		$ 700,000

LAST-IN, FIRST-OUT METHOD

	First year	Second year	Third year
Proceeds of goods sold	$1,700,000	$700,000	$1,200,000
Cost of goods sold (same as purchases during year)	1,500,000	500,000	1,000,000
Gross profit	$ 200,000	$200,000	$ 200,000

$1,400,000. Under the 1939 law, and using the standard method, taxable income for the period would be $700,000 —the first year's "profit"—and none thereafter.

However, by the last-in, first-out method, the profit would work out as $200,000 each year—the sensible figure—and income tax would be payable on this amount.

The calculations are as shown in the table above.

NOTE 49

ILLUSTRATION OF THE NORMAL-STOCK METHOD OF INVENTORY

The working of various inventory-reserve methods is shown in the subjoined figures covering the operations of Plymouth Cordage Co. in the ten years 1930–1939. Prior to 1932 a somewhat arbitrary policy was followed, under which a substantial reserve appeared in 1929, which was absorbed the following year, leaving no further reserve until 1933. For that year and the next a policy was adopted of marking down the entire inventory to the 1932 low prices. In 1935 the reserve was kept intact although not entirely needed. Beginning with 1936 the company adopted the normal-stock method, applying a sufficient reserve to reduce the minimum supply required for operation to the lowest price level previously experienced.